

Notes From Someone Who Wasn't Supposed to Understand This

A CS student's reckoning with how corporate finance actually works

The Auditor Problem

Let's start with the most obvious structural flaw in the entire system that somehow nobody talks about loudly enough- **the company hires its own auditor.**

So what's happening is that the auditor wants to keep the client. The client wants a clean opinion. So when a genuinely difficult judgment call comes up and there are thousands of them, why would an auditor ever push back hard? Their economic survival depends on not pushing back hard.

The textbook term for what auditors are supposed to be is "independent." In practice, independence is a polite fiction held together by professional ethics standards and the hope that everyone involved is fundamentally decent.

The Arthur Andersen/Enron collapse in 2001 is the case study that makes this concrete. Andersen was earning more from Enron in consulting fees than in audit fees. When you're that economically dependent on one client, you don't have an auditor, you have an expensive rubber stamp.

Accounting Standards Are Not a Mathematical System

Before I studied finance, I came from computer science. In CS, you write code in the correct syntax and you get an output. Deterministic. Verifiable. Right or wrong.

Finance broke my brain because it operates on judgment, not rules. And the more I studied it, the more I realized this isn't a flaw in the system, it *is* the system, by design.

Here's what I mean. Accounting standards aren't a neutral mathematical system for representing economic reality. They're a **behavioural control system**. Every rule exists not because of what an asset is, but because of what a human being with information advantage might do with the freedom to value that asset themselves.

A few examples that from the top of my head:

The historical cost vs. fair value debate isn't really about which method is more accurate. It's about which one is harder to manipulate. Fair value sounds more "real," but it opens the door to management plugging in whatever number they feel like defending that quarter.

Revenue recognition rules exist because revenue itself isn't complicated but humans are extremely creative about pulling it forward into the current period. The rules are guardrails against human creativity, not descriptions of economic reality.

The lease capitalization standard came about because companies were structuring leases specifically to keep massive obligations off their balance sheets. The standard didn't change the economic reality of those leases, it just forced companies to stop hiding them.

The pattern is always the same: standard setter identifies a manipulation, writes a rule to constrain it, the rule requires a judgment call somewhere, the judgment call is made by the party with the most to gain from the favourable outcome, and a new manipulation emerges inside the rule's own framework.

This happens because the underlying problem isn't the rule. The problem is that humans are adversarially clever, and accounting standards are written by humans who are also adversarially clever just in a different direction.

Goodwill Made Me Lose My Mind

Goodwill is an accounting concept that took me an embarrassingly long time to stop fighting. Here's what it is: when Company A buys Company B for more than Company B's net assets are worth on paper, the excess gets recorded as an asset called "goodwill." The idea is that you paid extra for brand value, customer relationships, talented employees, things that don't show up on a balance sheet but presumably have value.

Fine. I get it. It's a fudge factor with a professional-sounding name.

But here's the thing that I find hard to sit with: **internally generated intangibles are not recognized under accounting standards**. If your company builds a brand from nothing over 20 years, none of that value appears on your balance sheet. The reasoning is legitimate because the management has every incentive to inflate those numbers, so the standards just prohibit them from trying.

Then your company gets acquired. Suddenly, the acquirer can put a number on everything. That same brand value that was invisible yesterday is now on someone's balance sheet as goodwill. And then, here's the part I couldn't wrap my head around, that goodwill is largely left to management to value going forward.

Under IFRS, goodwill doesn't get amortized (written down gradually over time the way most assets do). Instead, companies do an annual "impairment test" to decide whether it's still worth what they said it was worth. And the primary tool for that test? A **DCF model**, a discounted cash flow, which is essentially a spreadsheet where you plug in your assumptions about future growth rates, profit margins, and discount rates and it tells you whatever you want it to tell you.

I will say this plainly: a company defending a goodwill impairment using their own DCF model is professional gaslighting.

The Kraft Heinz collapse in 2019 is the case study here. Kraft Heinz had enormous goodwill on its books from its 2015 merger, over \$40 billion worth. For years, the DCF models said everything was fine. Then, in one quarter, they wrote down \$15 billion. The brands hadn't suddenly lost value that quarter. The assumptions in the model finally had to meet reality.

Provisions and Contingent Liabilities: The Company Decides How Serious Its Own Lawsuit Is

There's a tiered system for how companies account for legal and financial risk:

- If an outflow is **probable** and can be **reasonably estimated**, you record a provision (an actual liability on the balance sheet).
- If it's merely **possible**, you just disclose it in the footnotes.
- If it's deemed **remote**, you disclose nothing.

On the surface this sounds reasonable. In practice: **the company being sued gets to decide which category its own lawsuit falls into, advised by its own lawyers.**

I cannot stress enough how insane this is. The defendant is the expert witness on the severity of the case against them.

HTM Securities: The Intention Defense

HTM stands for "held-to-maturity", a category banks use to classify bonds they claim to intend to hold until they mature, rather than selling them.

The critical thing this classification does: you don't have to mark those bonds to market. That means if interest rates rise and the market value of your bonds falls, your balance sheet doesn't have to show that loss as long as you've classified them as HTM. The implicit promise is: "We will never sell these, so the current market price is irrelevant."

Silicon Valley Bank collapsed in March 2023 largely because of this. SVB had loaded up on long-duration bonds in a zero-interest rate environment. When rates rose sharply in 2022, the market value of those bonds fell significantly. Because of the HTM classification, SVB wasn't required to reflect those losses on their balance sheet. Then depositors got nervous, started withdrawing, and SVB had to actually sell those bonds, realizing the paper losses that were always there. \$1.8 billion in losses crystallized overnight. The run accelerated. The bank failed within 48 hours.

The intention was real right up until it wasn't.

EBITDA: A Metric That Exists to Be Gamed

EBITDA stands for Earnings Before Interest, Taxes, Depreciation, and Amortization. It's widely used as a proxy for "operating cash flow" or "real profitability." Private equity firms use it to justify acquisition prices. Companies use it to make their income statements look better. Financial media repeats it constantly.

Here's the problem though- **depreciation is real**. When you have a factory full of machines and you add back the depreciation, you're implicitly assuming those machines will run forever without needing to be replaced. They won't. That depreciation represents real future cash that will have to leave the business. EBITDA pretends it doesn't exist.

The joke I saw in a Reddit comment that I haven't been able to shake: *"I'm a great businessperson if you don't count how I have net losses from all the dumb stuff I spent decades wasting money on."*

Private equity in particular has built entire valuation frameworks on multiples of EBITDA. If you want to see what this looks like in practice- the same firms that defend their acquisition prices using EBITDA multiples will be the first to point out that EBITDA is a misleading metric if you try to tax them on it.

The Macro Angle: Private Credit and 17 Years of Amnesia

What actually started today's rant was I was watching a video by Steve Eisman, the investor famous for shorting the US housing market before 2008, depicted in *The Big Short*, where he makes an argument I found genuinely alarming.

What is private credit, first? It's lending that happens outside banks and public bond markets. Instead of a company borrowing from a bank or issuing bonds on an exchange, they go directly to a private credit fund, think Blackstone Credit, Apollo, Ares Management. The fund lends

directly, the loan isn't publicly traded, and terms are negotiated privately. Post-2008, this exploded because banks got heavily regulated and retreated from riskier lending. Private credit funds stepped in and filled the gap. It's now a multi-trillion dollar market.

Eisman's argument: Before 2008, bank executives kept going on television saying everything was fine while mortgage defaults were already rising. They believed their own models, which were built on the assumption that US house prices had never fallen nationally and therefore never would. They confused a long benign period with permanent normalcy.

Private credit has the same psychological problem, but through a different mechanism.

Since 2008, default rates across almost every asset class have been historically low, what Eisman calls "subterranean." The reasons make sense in retrospect: zero interest rates for a decade meant even weak borrowers could refinance cheaply, fiscal stimulus kept companies alive through every stress period, and central banks intervened aggressively at the first sign of trouble.

Here's the trap. **Lending has an unusual cost structure.** When a factory sells a product, they know the raw material cost immediately. Lending doesn't work like that. You lend ₹100 crore today, book interest income over the next five years, but whether you actually get your money back, your true cost of goods, is only revealed at the end. The "cost of goods" is future losses, which are invisible at the point of sale.

For 17 years, private credit funds have been booking returns that looked excellent because actual losses kept coming in below what they underwrote for. Every year: excess returns. Every year: confirmation that they were good at this.

If you joined private credit in 2010 and it's now 2025, you have **never experienced a real credit cycle**. Not once. You've never had a vintage of loans where losses came in materially above your underwriting assumptions. Your entire career data set is one half of a cycle. And so you build models on that. You set loss assumptions based on that. You train junior analysts based on that. An entire generation's institutional knowledge is built on an incomplete sample.

Interest rates rose sharply from 2022. Borrowers are under more stress. Companies that were fine at 3% rates are now struggling at 8%. The credit cycle that was suppressed for 17 years is potentially turning.

The thing Eisman points out that I found most unsettling: pre-2008 banks were arrogant because 30:1 leverage made their wins enormous and made them feel untouchable. Private credit funds are mostly 1:1 leveraged but they're not reckless in the same way. The arrogance is quieter. It comes from 17 years of being right, which is almost harder to argue against than obvious recklessness.

Then I Found Out You Can Trade Fear

While processing all of the above, I came across the VIX.

VIX is the Volatility Index published by the CBOE (Chicago Board Options Exchange). It measures the *expected* volatility of the S&P 500, the index tracking America's 500 largest public companies, over the next 30 days. Not what volatility is right now. What the market *thinks* it's going to be.

It's calculated by looking at options prices on the S&P 500. When investors are scared, they buy put options, which are essentially insurance contracts that pay out if stock prices fall. High demand for that insurance drives option prices up. The VIX extracts that fear signal from option prices and converts it into a single number. VIX of 15 means calm. VIX of 30 means elevated stress. VIX of 80 means full panic. In March 2020, during the COVID crash, it hit 85.

It's called the "fear gauge." It doesn't measure what's happening. It measures how scared people are about what might happen.

Then I found out you can trade the VIX itself. Not a stock. Not a bond. Not a company. Just fear, packaged as a financial instrument.

VIX futures let you buy or sell expected future volatility. VIX options let you bet on where fear will be at a specific date. There are ETFs (exchange-traded funds, baskets of assets that trade like stocks) like VXX that track VIX futures, so a retail investor can trade fear from their phone.

I had to open a Word document and start writing at this point because I had no other way to process it.

What This All Adds Up To

I have zero formal finance background. And the thing that keeps hitting me as I go deeper into this is that the system isn't broken by accident, it's shaped by the consistent pressure of smart people finding edges inside whatever rules exist.

Auditors aren't independent because the incentives don't support independence. Accounting standards aren't neutral because neutral standards would be gamed immediately. Goodwill is valued by management because there's no one else to value it. Companies assess their own legal liability because no one else has the information. Banks classify assets as HTM because the alternative is showing losses they'd rather not show. EBITDA became the dominant valuation metric because it's the most flattering one available.

Private credit built an entire generation's risk models on the most benign lending environment in modern history. And somewhere along the way, someone decided you should be able to trade volatility as an asset.

I don't know if this makes the job harder or just more interesting. Maybe both

Written April 7, 2026. Notes from someone figuring this out in real time.